increase in the bank rate?'[4] In the end Purshotamdas had his way and his victory was in a sense unique since it signalized the severing of 'the chains that bound the Indian economy to the chariot wheels of the City of London.'[5] As it turned out, the hike by the Bank of England proved to be a short-lived affair. It was brought back to 2 percent in October 1939.

Purshotamdas's role has also been well acknowledged in the official history of the RBI. In the formative years of the bank, the Central Board as a whole played an active role in the working of the bank. The Directors made every attempt to safeguard the interests of the bank and maintain the tradition of the independence of a central bank. The active Directors were mostly the Presidents of the Local Boards of the bank. The *History* observes, 'The most distinguished and outstanding of these was Sir Purshotamdas Thakurdas. He was held in the highest esteem and confidence by both Sir Osborne Smith and Sir James Taylor, as also, the Deputy Governors. His colleagues on the Central Board, too, looked to him for leadership. His policy as that of his colleagues on the Board was to co-operate on a constructive basis with the foreign Government in India, while trying the utmost to safeguard the Bank's and the country's interest. Sir P.T. was both a driving force and a restraining influence.'[6]

Limiting the Size of Individual Shareholding

One of Purshotamdas's earliest contributions after becoming Director was his pointing out the increasing tendency for big blocks of shares to get into the hands of certain individuals and the consequent sterilization of votes. In November 1936, Purshotamdas raised this issue before the management of the bank and insisted that it be placed on the agenda for discussion at a Board meeting. Taylor thought it premature to suggest a limit on the size of individual shareholding and pointed out that an amendment proposing a limit of 200 shares had been rejected in the Legislative Assembly. It was decided that the Local Boards would submit annual returns showing the total number of shareholders on their registers. The phenomenon of gradual accumulation of shares on the Bombay register at the expense of other registers was also causing some concern.

The reports from the Local Boards proved that Purshotamdas's fears were not without foundation. The shareholders had fallen from 92,047